QUARTERLY INVESTOR REPORT

Osprey Student Living | Salt Lake City, UT

Investment	Osprey Student Living
Quarter	2Q 2026
Report Date	February 11, 2023
Sponsor	Vireo Income Properties
Occupancy	88.7%

Investment Overview

The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Distributions to investors for the quarter were paid at an annualized rate of 7.0% on contributed capital. The property is located 7 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Pre-leasing for the coming academic year stands at 94.8% with rental rates per bed averaging $1,008. Projected levered IRR is 10.6% with an equity multiple of 1.28x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 13.7% with an equity multiple of 1.18x over the hold period. Pre-leasing for the coming academic year stands at 91.6% with rental rates per bed averaging $1,008. The property is located 2 blocks from the main campus with a dedicated shuttle serving fall and spring terms. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Management Commentary

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 36 additional team members. Pre-leasing for the coming academic year stands at 93.4% with rental rates per bed averaging $1,008. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Service requests are tracked through a work-order system with an average completion time of 5 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Investor Distributions

Distributions to investors for the quarter were paid at an annualized rate of 5.6% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Pre-leasing for the coming academic year stands at 94.9% with rental rates per bed averaging $1,008. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 12.1% with an equity multiple of 1.21x over the hold period. Pre-leasing for the coming academic year stands at 96.6% with rental rates per bed averaging $1,008. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Leasing and Marketing

The manager completes a monthly walk of the property and submits a variance report to the owner by the 30th business day. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 14 hours.

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Investment Overview

The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 5.7% on contributed capital. Projected levered IRR is 12.0% with an equity multiple of 1.35x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The property is located 2 blocks from the main campus with a dedicated shuttle serving fall and spring terms.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 6.3% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The property is located 9 blocks from the main campus with a dedicated shuttle serving fall and spring terms.

Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 37 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The property is located 3 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Collections for the period were 92.3% of billed charges, with bad debt of 6.1% of gross potential income.

Collections for the period were 96.4% of billed charges, with bad debt of 5.8% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 6th business day. Service requests are tracked through a work-order system with an average completion time of 29 hours. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Investor Distributions

The property is located 9 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Distributions to investors for the quarter were paid at an annualized rate of 7.7% on contributed capital. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns.

Pre-leasing for the coming academic year stands at 88.4% with rental rates per bed averaging $1,008. The property is located 3 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room.

Property Operations

Pre-leasing for the coming academic year stands at 91.7% with rental rates per bed averaging $1,008. The manager completes a monthly walk of the property and submits a variance report to the owner by the 28th business day. Collections for the period were 93.9% of billed charges, with bad debt of 4.6% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 5 additional team members.

Collections for the period were 96.6% of billed charges, with bad debt of 3.8% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 40 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Pre-leasing for the coming academic year stands at 96.5% with rental rates per bed averaging $1,008. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Risk Considerations

The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. The property is located 1 blocks from the main campus with a dedicated shuttle serving fall and spring terms. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 6.6% on contributed capital.

The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Projected levered IRR is 4.4% with an equity multiple of 1.5x over the hold period. Pre-leasing for the coming academic year stands at 94.5% with rental rates per bed averaging $1,008. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Security camera upgrade	Building	01/08/25	Q3 2025	$542,000	$163,512	Approved
Water heater replacement	Energy	07/27/24	Q1 2026	$727,000	$184,386	In progress
Fence replacement	Life Safety	07/18/23	Q1 2027	$55,000	$56,272	In progress
Exterior paint	Life Safety	06/07/23	Q3 2025	$463,000	$484,256	Approved
Roof replacement - Bldg C	Site	11/04/25	Q3 2026	$846,000	$323,116	Approved
Parking lot resurfacing	Interior	02/22/23	Q3 2025	$139,000	$83,781	Deferred
Signage / monument	Site	06/18/24	Q4 2027	$110,000	$75,393	Complete
Unit interior upgrades	Energy	10/01/24	Q4 2026	$29,000	$26,764	In progress
Door hardware	Interior	02/13/26	Q4 2027	$130,000	$48,620	Approved
Sewer line repair	Energy	02/13/23	Q2 2027	$117,000	$53,217	Approved
Lobby renovation	Building	10/25/25	Q2 2026	$675,000	$18,099	Approved
Amenity renovation	Energy	07/29/25	Q1 2025	$368,000	$238,545	Bidding
Pool resurfacing	Building	03/20/25	Q4 2026	$638,000	$496,818	Complete
Pool resurfacing	Interior	06/05/25	Q3 2027	$477,000	$157,562	Approved
Storefront glazing	Life Safety	12/08/23	Q3 2026	$488,000	$380,713	Deferred
Pool resurfacing	Life Safety	04/21/23	Q2 2027	$562,000	$391,991	Complete
Storefront glazing	Interior	12/04/26	Q2 2025	$237,000	$36,917	Deferred
Security camera upgrade	Energy	07/29/26	Q3 2027	$58,000	$4,824	Approved
Parking lot resurfacing	Interior	11/28/23	Q4 2027	$85,000	$72,998	Deferred
Water heater replacement	Site	11/03/26	Q2 2027	$630,000	$434,539	Approved
Security camera upgrade	Life Safety	01/02/24	Q2 2027	$122,000	$89,663	Approved
Landscape / irrigation	Site	09/05/24	Q2 2026	$101,000	$49,709	Bidding
Lobby renovation	Life Safety	10/06/24	Q3 2027	$567,000	$60,709	Bidding
Landscape / irrigation	Energy	03/26/26	Q2 2025	$176,000	$121,879	Complete
Signage / monument	Energy	03/28/25	Q3 2027	$334,000	$283,473	Bidding
HVAC replacement	Energy	09/30/25	Q4 2027	$203,000	$56,600	Deferred
Water heater replacement	Life Safety	02/09/26	Q4 2027	$427,000	$196,121	In progress
ADA compliance	Site	06/12/25	Q2 2026	$402,000	$68,286	Approved
Sewer line repair	Energy	11/04/24	Q4 2026	$717,000	$713,739	Deferred
Exterior paint	Site	12/19/26	Q1 2027	$408,000	$116,446	In progress
Unit interior upgrades	Energy	11/13/23	Q1 2027	$618,000	$362,600	Bidding
Unit interior upgrades	Life Safety	02/20/25	Q2 2026	$780,000	$358,669	Bidding
ADA compliance	Building	03/17/25	Q1 2025	$747,000	$318,781	Deferred
Fire alarm panel upgrade	Life Safety	09/09/25	Q2 2027	$243,000	$199,840	Bidding
Parking lot resurfacing	Building	10/02/24	Q4 2026	$601,000	$82,970	Approved
Exterior paint	Energy	03/04/24	Q2 2025	$277,000	$12,178	Deferred
Fire alarm panel upgrade	Life Safety	01/11/26	Q4 2025	$744,000	$343,816	Complete
Landscape / irrigation	Interior	03/17/26	Q2 2026	$70,000	$34,950	In progress
Lobby renovation	Interior	09/29/24	Q4 2027	$602,000	$222,755	Bidding
Elevator modernization	Energy	07/20/23	Q2 2026	$225,000	$131,152	Deferred

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Financial Analysis

The going-in capitalization rate of 7.22% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 6.2% of collected revenue and are included in operating expenses. The property is located 8 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Debt service coverage ratio was 6.92x on a trailing basis against a covenant minimum of 1.20x. The community is leased by the bed on individual lease liability with parent guaranties and furnished units.

Net operating income is projected to grow at a compound annual rate of 3.8% over the hold period. The property is located 4 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Pre-leasing for the coming academic year stands at 96.8% with rental rates per bed averaging $1,008. Effective gross income for the trailing period was $55,000, representing a 10.0% increase over the prior year. Operating expenses totaled $31,000 or approximately 21.97 per square foot, with real estate taxes representing the largest line item.

Demographics and Employment

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Pre-leasing for the coming academic year stands at 88.9% with rental rates per bed averaging $1,008. Investor demand for Student Housing assets in Salt Lake City remains strong with recent trades at capitalization rates between 7.81% and 7.81%.

Osprey Student Living is located in Salt Lake City, UT, a market that has recorded 9.9% population growth over the last five years. The property is located 2 blocks from the main campus with a dedicated shuttle serving fall and spring terms. The Salt Lake City Student Housing market has experienced absorption of 1800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Rent growth in the submarket has averaged 5.9% annually over the past 10 years.

Income and Expense Review

The property is located 1 blocks from the main campus with a dedicated shuttle serving fall and spring terms. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Management fees are calculated at 5.2% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 3.1% over the hold period.

Effective gross income for the trailing period was $263,000, representing a 9.4% increase over the prior year. Debt service coverage ratio was 7.93x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 3.6% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 6.93% reflects the in-place income and the stabilized occupancy assumption.

Submarket Analysis

The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The property is located 4 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Employment growth is led by healthcare, logistics, education and professional services sectors.

Pre-leasing for the coming academic year stands at 88.4% with rental rates per bed averaging $1,008. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Employment growth is led by healthcare, logistics, education and professional services sectors. Osprey Student Living is located in Salt Lake City, UT, a market that has recorded 10.7% population growth over the last five years. The property is located 9 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Rent growth in the submarket has averaged 3.7% annually over the past 6 years.

Valuation Discussion

The property is located 7 blocks from the main campus with a dedicated shuttle serving fall and spring terms. The going-in capitalization rate of 6.91% reflects the in-place income and the stabilized occupancy assumption. Pre-leasing for the coming academic year stands at 94.6% with rental rates per bed averaging $1,008. Debt service coverage ratio was 6.48x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 7.7% of collected revenue and are included in operating expenses. The community is leased by the bed on individual lease liability with parent guaranties and furnished units.

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$293,852	$275,942	$292,866	-$985	-0.3%	$521.11
5010 Loss to Lease	$152,161	$151,474	$151,631	-$530	-0.3%	$269.81
5020 Vacancy Loss	$549,643	$509,805	$533,885	-$15,758	-2.9%	$949.97
5030 Concessions	$123,433	$118,132	$119,307	-$4,125	-3.3%	$212.29
5040 Bad Debt	$586,898	$575,897	$600,603	$13,705	2.3%	$1,068.69
5050 Late Fees	$346,949	$351,556	$365,214	$18,265	5.3%	$649.85
5060 Utility Reimbursements	$146,747	$149,938	$153,886	$7,139	4.9%	$273.82
5070 Parking Income	$636,255	$629,806	$630,067	-$6,187	-1.0%	$1,121.12
5080 Application Fees	$607,991	$579,482	$590,465	-$17,526	-2.9%	$1,050.65
5090 Pet Rent	$82,019	$78,863	$83,159	$1,140	1.4%	$147.97
5100 Laundry Income	$427,646	$414,981	$436,964	$9,318	2.2%	$777.52
5110 Cable/Internet Revenue	$203,556	$207,739	$218,622	$15,066	7.4%	$389.01
5120 CAM Reimbursements	$655,162	$630,423	$670,950	$15,788	2.4%	$1,193.86
5130 Tax Reimbursements	$722,413	$753,530	$753,989	$31,576	4.4%	$1,341.62
5140 Insurance Reimbursements	$567,297	$595,171	$616,827	$49,530	8.7%	$1,097.56
5150 Percentage Rent	$604,000	$611,291	$646,318	$42,318	7.0%	$1,150.03
5160 Misc. Income	$439,684	$410,034	$433,601	-$6,083	-1.4%	$771.53
5170 Payroll - Management	$340,355	$339,301	$352,033	$11,678	3.4%	$626.39
5180 Payroll - Leasing	$350,942	$364,967	$365,163	$14,221	4.1%	$649.76
5190 Payroll - Maintenance	$477,633	$472,922	$492,510	$14,877	3.1%	$876.35
5200 Payroll Taxes & Benefits	$436,237	$411,264	$413,939	-$22,298	-5.1%	$736.55
5210 Repairs - Plumbing	$353,941	$330,408	$339,393	-$14,548	-4.1%	$603.90
5220 Repairs - HVAC	$264,235	$247,767	$259,413	-$4,822	-1.8%	$461.59
5230 Repairs - Electrical	$719,196	$698,385	$733,115	$13,919	1.9%	$1,304.47
5240 Repairs - Appliances	$54,739	$54,237	$54,301	-$438	-0.8%	$96.62
5250 Painting & Decorating	$702,215	$731,025	$757,245	$55,029	7.8%	$1,347.41
5260 Flooring	$509,370	$521,705	$537,716	$28,347	5.6%	$956.79
5270 Make-Ready / Turnover	$96,190	$96,321	$99,741	$3,551	3.7%	$177.47
5280 Landscaping Contract	$102,456	$108,552	$110,433	$7,976	7.8%	$196.50
5290 Snow Removal	$171,894	$174,616	$185,872	$13,978	8.1%	$330.73
5300 Janitorial	$352,117	$343,157	$351,748	-$369	-0.1%	$625.89
5310 Pest Control	$547,688	$576,825	$586,479	$38,791	7.1%	$1,043.56
5320 Trash Removal	$409,704	$425,044	$436,772	$27,068	6.6%	$777.17
5330 Elevator Contract	$368,840	$352,646	$353,208	-$15,632	-4.2%	$628.48
5340 Fire & Life Safety	$677,261	$720,434	$745,029	$67,767	10.0%	$1,325.67
5350 Security	$390,687	$361,546	$372,215	-$18,473	-4.7%	$662.30
5360 Electricity - Common	$520,986	$503,405	$505,491	-$15,496	-3.0%	$899.45
5370 Gas - Common	$688,426	$665,198	$696,403	$7,977	1.2%	$1,239.15
5380 Water & Sewer	$726,784	$674,021	$690,278	-$36,506	-5.0%	$1,228.25
5390 Telephone/Internet	$349,033	$361,655	$379,428	$30,395	8.7%	$675.14
5400 Advertising	$276,943	$279,608	$295,773	$18,830	6.8%	$526.29

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Disclaimer and Confidentiality

Each party represents that it has full power and authority to enter into and perform its obligations hereunder. Time is of the essence with respect to each and every provision of this instrument. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. This document relates solely to Osprey Student Living and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of UT. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. This document relates solely to Osprey Student Living and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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